

UNIT 5 – Industrial Designs, Copyright, Computer Software & Cyber Law

Topics: Industrial Designs | Copyright | Computer Software & IPR | Cyber Law

PART 1: INDUSTRIAL DESIGNS

◆ Introduction

What is Industrial Design?

An **industrial design** is the ornamental (decorative) or aesthetic (visual) aspect of an article that is generally mass-produced and useful. It can include:

- **3D features** – shape, surface of the product
- **2D features** – patterns, lines, colours applied on an article

Important: *Industrial design is judged purely by the eyes — it does not include any method or principle of construction (how a thing works).*

If a design cannot be applied to an article (a pure artwork), it falls under **copyright**. Some designs may also qualify as **trademarks**.

In India, the law governing this is the **Designs Act, 2000** (replaced the older Designs Act, 1911).

Industrial Design in IP Law

Industrial design as an IP concept covers only how a product *looks*, not how it *works*. It is relevant to a wide range of products:

- Technical and medical instruments; watches, jewellery, luxury items
- Household products, toys, furniture, electrical appliances
- Cars and architectural structures
- Textile designs, sports equipment, packaging

Creative Designs in Business

Businesses invest heavily in design for three key reasons:

1. **Customize products for specific market segments** – small design changes can make a product appeal to different groups.
2. **Create a new niche market** – a distinctively designed product creates its own category of customers.
3. **Strengthen brands** – creative designs combined with trademarks make a brand more recognizable.

Why Protect Industrial Designs?

An industrial design adds value to a product — it can be its **unique selling point (USP)**. By registering a design, the owner gets the exclusive right to prevent others from copying it.

BUSINESS BENEFITS

- Prevent copying by competitors
- Fair return on investment
- Increases company value
- Licensing opportunities
- Promotes fair competition

KEY PRINCIPLE

- Registration = exclusive rights
- Design is a business asset
- Can license or sell the design
- Encourages aesthetic diversity

◆ Procedure for Obtaining Design Protection

- 1 **Research and Preliminary Assessment** – Research existing designs; use patent office databases or hire a professional search firm.
- 2 **Identify the Jurisdiction** – Single country, regional office (EU-IPO), or internationally under the **Hague System**.

- 3 **Prepare Application Documents** – Drawings/illustrations, description of features, required forms.
- 4 **File the Application** – Submit to the IP office, pay filing fees, ensure completeness.
- 5 **Examination** – IP office checks for *novelty* and *originality*.
- 6 **Publication** – Published in a public database/journal; third parties may oppose.
- 7 **Opposition Period** – Third parties can challenge your application (in some countries).
- 8 **Registration** – Receive a *certificate of registration* — legal proof of ownership.
- 9 **Maintenance and Renewal** – Protection is time-limited; renew before expiry.
- 10 **Enforcement** – Cease-and-desist letters, licensing negotiations, or court litigation.

◆ Revocation, Infringement and Remedies

1. Revocation

Revocation is the *legal cancellation* of a registered design due to:

- Lack of Novelty or Originality
- Lack of Individual Character
- Non-Compliance with legal procedures
- Invalidity Claims by third parties

2. Infringement

Infringement occurs when someone **uses, manufactures, sells, imports, or distributes** a product containing the protected design without the owner's permission — including unauthorized reproduction, commercial use, or importing infringing products.

3. Remedies

- **Cease and Desist Letters** – Formal demand to stop infringing activity.
- **Negotiation** – Settle through licensing or other arrangements.
- **Injunctions** – Court orders to immediately stop infringing activities.
- **Damages/Compensation** – Monetary compensation for financial losses.
- **Destruction or Seizure** of infringing goods.
- **Legal Proceedings** – Court action for full legal relief.

◆ Case Studies – Famous Industrial Design Examples

1. iPhone by Apple

Revolutionized the smartphone industry with its sleek, minimalist design — smooth edges, large touchscreen, and clean form factor. Apple has fiercely protected these design patents and engaged in several landmark legal battles over alleged infringement.

2. Alessi Juicy Salif Citrus Juicer

Designed by Philippe Starck for Alessi in 1990. Space-age, sculptural form resembling an insect. Despite debates about practicality, it became a design icon now in the permanent collection of New York's MoMA.

3. Vespa Scooter

Designed in 1946 by Corradino D'Ascanio for Piaggio (Italy). Streamlined body, single-piece steel frame, and distinctive front fairing made it a cultural symbol and a revolution in urban transportation.

4. Swatch Watch

Launched in the 1980s. Combined colourful plastic casing, minimalist design, and Swiss precision. Democratized stylish watchmaking and completely revived the Swiss watch industry.

5. Oxo Good Grips Kitchen Tools

Designed by Smart Design LLC for Oxo International. Ergonomic handles, intuitive design, and durable materials built for comfort for people with a wide range of abilities — a great example of user-centred design.

PART 2: COPYRIGHT

◆ What is Copyright?

Copyright is the legal right given to creators of literary, dramatic, musical, and artistic works; cinematographic films; and sound recordings. It means only the creator has the right to make copies — all others are prevented from copying without permission.

Key principle: *Copyright does not protect ideas — it only protects the expression of an idea. Once written, drawn, or recorded, the expression is protected.*

Nature and Scope — Two Types of Rights

A. ECONOMIC RIGHTS

- Right of reproduction
- Broadcasting
- Public performance
- Adaptation & Translation
- Public recitation and display
- Distribution

B. MORAL RIGHTS

- Right to claim authorship
- Right to object to distortion or modification that harms reputation

Duration: Creator's lifetime + minimum **50 years** after death. Governed internationally by the **Berne Convention** (1886, administered by WIPO).

◆ Copyright in India

Brief History

- First copyright law in India: **1847** (British rule)
- After independence: **Copyright Act, 1957** (came into effect 1958)
- Latest significant amendment: **2003 Amendment** (in force May 2004)

Duration in India

- Literary work: **Lifetime of author + 60 years** after death
- Joint authorship: 60 years from the year the last surviving author dies
- Photographs, films, sound recordings: **60 years from first publication**

Fair Use (Section 52)

Limited uses are allowed without consent, including reproduction for **educational purposes** (research, review) and reporting in newspapers/magazines.

Penalties

General infringement (since 1984): Minimum 6 months, up to 3 years imprisonment + fine of ₹50,000 to ₹2,00,000

Infringing computer software (since 1994): 7 days to 3 years imprisonment + fine of ₹50,000 to ₹2,00,000

◆ Protection of Related Rights

Related Rights (Neighbouring Rights) apply to three specific groups:

1. **Performers** – actors, musicians, singers, dancers
2. **Producers of Phonograms** – record companies
3. **Broadcasting Organizations** – radio and TV stations

Governed internationally by the **Rome Convention (1961)**, jointly administered by **UNESCO, ILO, and WIPO**. Also incorporated in the **TRIPS Agreement (1994)**.

◆ Copyright Protection — When Does It Begin and End?

When does it begin?

Copyright begins **the moment a work is created and fixed in a tangible form** — no formal registration is required, but registration aids in proving ownership.

Proper © format: Copyright © [Year] [Name of Owner]

When does it expire?

Under the Berne Convention: **life of the author + 50 years** after death. Cinematographic works: minimum 50 years from creation. Photographic works: minimum 25 years from creation.

PART 3: COMPUTER SOFTWARE AND IPR

◆ Protection of Computer Software Under Copyright

During the 1970s–80s, a WIPO/UNESCO committee reached a breakthrough: computer programs could be treated as **literary works** and protected under copyright. Under the **Berne Convention, Article 2(1)**, if it is an original intellectual creation, it qualifies as a literary work.

- Programs in **object code** (machine-readable) still receive copyright protection.
- Recompiling/decompiling is considered *reproduction and adaptation* — governed by copyright.

Authorship Issues in Works Made by Computer

International consensus (WIPO/UNESCO 1982 Paris Committee):

- **Inputting** a copyrighted work into a computer = *reproduction* → governed by copyright.
- **Outputting** a protected work from a computer = also protected by copyright.
- A computer is only a **tool** — the human who conceives the product is the **author**.

Patenting of Computer Software

Initially, patent offices rejected software-related applications. The **US** was foremost in allowing software patents, even for business methods and mathematical algorithms (if they have a useful application).

COPYRIGHT FOR SOFTWARE

- Protects the *expression* (code)
- Does not protect the underlying idea/algorithm
- Prevents monopolization of ideas

PATENT FOR SOFTWARE

- Protects the invention/method
- Holders of large portfolios can "blackmail" smaller developers
- Countries differ widely on what is patentable

◆ Software Piracy

Software piracy means copying and distributing computer programs without the copyright holder's permission.

Five Principal Types of Software Piracy

#	Type	Description
1	Counterfeiters	Produce disks, documentation, and packaging closely resembling the original — the most blatant form.
2	Resellers	Distributors copy software onto hard disks of computers they sell, without authorization.
3	Mail Order Houses	Unauthorized copying onto diskettes/CDs and distributing by post.
4	Bulletin Board Pirates	Upload unauthorized copies online so others can download them — precursor to internet piracy.
5	End-User Piracy	Users copy software onto more computers than their license allows. The most widespread form.

Global Piracy Losses

- Europe: estimated **US\$ 6 billion/year** (~50% of worldwide losses)
- Global losses in 1996: **US\$ 11.2 billion**
- India: approximately **₹500 crores (US\$ 151.3 million)**, piracy rate ~60% (1996 BSA/NASSCOM survey)

◆ Transfer of Copyrights

The copyright owner can **assign** (transfer) or **license** their rights to another party in writing.

Feature	Assignment	Licensing
Ownership	Transferred to new party	Retained by original owner
Nature	Full or partial transfer of all rights	Permission to use specific rights
Reversibility	Generally permanent	Can be time-limited or revocable

PART 4: RIGHTS OF BROADCASTING ORGANIZATIONS AND PERFORMERS

◆ Broadcaster's Rights

A broadcast is treated like an original literary or dramatic work — it has its own copyright. However, this does *not* replace the copyright in the original content being broadcast.

Key Rule: *Broadcaster's rights are based on investment, not creative contribution — simply broadcasting to the public creates the right.*

Broadcaster's Right in India — Section 37 (1994 Amendment)

Rights granted to broadcasting organizations:

1. Reproduce the broadcast
2. Cause the broadcast to be heard/seen by the public for payment
3. Make any sound or visual recording of the broadcast
4. Make reproductions of such recordings (where the initial recording was unauthorized)
5. Sell or hire such recordings to the public

Judicial Cases on Broadcaster's Rights in India

Super Cassettes Industries Ltd. v. Entertainment Network (India) Ltd.

Since Radio Mirchi had already infringed by broadcasting without authorization, granting a compulsory license would reward infringement. Section 31 uses "may" — the Copyright Board is not obligated to grant every license application.

Video Master v. Nishi Productions

Cable TV rights and satellite broadcasting rights are **two different rights** and can exist in different persons without infringing each other's rights.

Garware Plastics and Polyesters Ltd. v. Telelink

Showing a film on cable TV is a broadcast to the public. Showing the film on cable TV without authorization was a violation of copyright.

◆ Performers' Rights

Introduced by the **Copyright (Amendment) Act, 1994** in India.

Who is a "performer"?

An actor, singer, musician, dancer, acrobat, juggler, snake charmer, person delivering a lecture, or anyone else who makes a performance.

Exclusive rights of a performer:

1. To make a sound or visual recording of the performance
2. To reproduce a sound or visual recording of the performance
3. To broadcast the performance
4. To communicate the performance to the public (other than by broadcast)

◆ Exceptions to Copyright (Section 39)

The following acts do **not** constitute infringement of a performer's right:

- Making a sound/visual recording for **private personal use** or bona fide teaching/research
- Using **excerpts** for reporting current events or fair review — consistent with *fair dealing*
- Reproduction for **judicial proceedings**, by a legislature's secretariat, or in certified copies
- Performance in the course of an **educational institution's activities** before limited audiences

◆ Case Study – Infringement of Copyright

Super Cassette Industries Ltd. v. Bathla Cassette Industries Ltd. (Delhi High Court)

Background: T-Series produced a version recording of "Chalo Dildar Chalo" (from *Pakeezah*) under Section 52(1)(j), paying ₹400 royalty. Bathla then tried to produce a version recording of T-Series' version.

Court's ruling: You can't benefit from a legal exception (Section 52) and then prevent others from using the same exception. A "*plagiarist*" cannot stop another "*plagiarist*" from copying their copy.

PART 5: INTRODUCTION TO CYBER LAW

◆ What is Cyber Law?

Cyber Law governs cyberspace — a broad term covering computers and networks, software, data storage devices, the Internet, websites, emails, electronic devices (cell phones, ATM machines).

◆ Information Technology Act, 2000

India became the **12th country** to enact cyber law with the **IT Act, 2000**, based on the UN's **UNCITRAL Model Law on Electronic Commerce (1996)**.

Objectives of the IT Act

1. Grant legal recognition to **electronic transactions**
2. Give legal recognition to **digital signatures**
3. Facilitate **electronic filing** of documents with government agencies
4. Facilitate **electronic storage of data**
5. Give legal sanction to **electronic fund transfers**
6. Allow banks to maintain **books of accounts in electronic form**

Non-Applicability of the IT Act (Section 1(4))

The IT Act does *not* apply to: Negotiable Instruments (except cheques), Powers of Attorney, creation of Trusts, Wills and testamentary dispositions, contracts for the sale/conveyance of immovable property, or any class of documents specifically notified by the Central Government.

◆ Digital Signature vs. Electronic Signature

Three Key Features of Digital Signatures

1. **Authentication** – Confirms the identity of the sender.
2. **Integrity** – Assures the message was not altered during transmission.
3. **Non-Repudiation** – Sender cannot deny having sent a message bearing their signature.

Feature	Electronic Signature	Digital Signature
Nature	Digital form of wet-ink signature	Secured using public key infrastructure
Security	Vulnerable to tampering	Highly secure
Validation	Not by trusted certificate authorities	By trusted certificate authorities
Verifiable?	Not easily verified	Can be verified
Encryption	None	Has encryption standards
Best use	Contracts and agreements	Financial, HIPAA records, private contracts

◆ Cybercrime

Cybercrime is an unlawful act in which the computer is a *tool*, a *target*, or *both*.

Categories of Cybercrime

- **Against Persons** – Harassment via cyberspace (sexual, racial, religious, etc.)
- **Against Property** – Computer vandalism, unauthorized trespassing in computer systems, transmitting harmful programs.
- **Against Government** – Cyberterrorism, attacks on government infrastructure.

Types of Cybercrime (Technical)

- **Unauthorized Access and Hacking** – Gaining unauthorized entry into a computer's logical/memory functions.
- **Trojan Attack** – A program appearing useful that secretly performs harmful actions (Client + Server components).
- **Virus and Worm Attacks** – Virus infects programs; worm spreads automatically over networks.
- **Email Crimes** – Spoofing (fake source), Spamming (bulk unsolicited emails), Bombing (overwhelming a mailbox), Fraud.
- **IRC Related Crimes** – Denial of Service (DoS), clone attacks, flood attacks.

- **Sale of Illegal Articles** – Narcotics, weapons, protected wildlife via websites or bulletin boards.
- **Online Gambling** – Often fronts for money laundering.

Brief History of Cybercrime

Year	Event
1820	Joseph-Marie Jacquard's loom threatened textile workers → acts of sabotage → first recorded cybercrime
1971	John Draper discovers a whistle creates a 2600Hz tone, enabling free phone calls → wire fraud escalates
1973	Bank teller in New York embezzles \$2 million using a computer
1978	First electronic bulletin board system (BBS) appears
1981	Ian Murphy ("Captain Zap") — first person convicted of a computer crime; broke into AT&T's billing systems
1982	Elk Cloner — an Apple II boot virus — is written
1983	Film <i>WarGames</i> introduces the public to hacking; US Secret Service gets jurisdiction over computer fraud

◆ Key Provisions of IT Amendment Act, 2008

Section 66: Dishonestly/fraudulently destroying or altering computer data → imprisonment up to 2–3 years or fine up to ₹5 lakh, or both.

Section 66A: Sending offensive messages through communication services → imprisonment up to 3 years + fine.

◆ Data Security, Confidentiality and Privacy

Privacy

A consumer's right to keep personal data from being freely shared or sold. Fundamentally about an individual's right to control who accesses their personal information.

Confidentiality

Applies between a service provider and its customers. When someone is trusted with personal data, they have a duty not to release it — focuses on the *obligation* of those handling data.

Security

Applied at the enterprise or government level. Aims to protect an organization from external attacks. A company may be "secure" externally but still violate privacy internally.

◆ Key Case Laws

Case	Ruling
Amitabh Bagchi v. Ena Bagchi (AIR 2005 Cal 11)	Video conferencing and "digital evidence" are legally admissible
Dharambir v. CBI (148 (2008) DLT 289)	A hard disk once used becomes an electronic record — must be produced in its entirety in court
State (NCT of Delhi) v. Navjot Sandhu (AIR 2005 SC 3820)	Cross-examination of a competent witness is sufficient to prove authenticity of an electronic document
Yahoo! Inc. v. Akash Arora & Anr. (78 (1999) DLT 285)	First Indian court to directly link trademarks and domain names — yahooindia.com infringed Yahoo!'s trademark

End of Notes – Unit 5

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